

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.,

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC,

RESPONDENT.

COMPLAINANT PELOTON INTERACTIVE INC.'S OPPOSITION TO
RESPONDENT FLEXPORT INTERNATIONAL LLC'S
MOTION FOR SANCTIONS FOR FAILING TO COMPLY WITH DISCOVERY
ORDERS

Complainant Peloton Interactive, Inc. (“Peloton”) respectfully submits this Opposition to the May 21, 2025 Motion for Sanctions for Failing to Comply with Discovery Orders (Dkt. No. 63, “Fourth Motion to Dismiss”) of Respondent Flexport International LLC (“Flexport”) (collectively, the “Parties”).

I. PRELIMINARY STATEMENT

Flexport’s *fourth* dispositive motion, following *three previous* dispositive motions filed by Flexport, comes a mere *six days* after the Presiding Officer considered Flexport’s Third Motion to Dismiss in an Order dated May 15, 2025 (the “May 15 Order”).¹ The Presiding Officer’s intent could not be more clear in that Order – she stated *three times* that dispositive motions at this stage of litigation are disfavored:

- 1) **“Dispositive motions filed shortly before briefing begins, as Flexport has done here, are disfavored.”** Dkt. No. 62 at 5 (emphasis added).²
- 2) **“The schedule does not allow for filing dispositive motions at the end of discovery, and administrative law judges have routinely denied scheduling order proposals that request dates to do so.”** *Id.* (emphasis added).³
- 3) **“There is no efficiency to be realized by deciding a third dispositive motion shortly before briefing begins.”** *Id.* (emphasis added).

To circumvent the clear directive of the Presiding Officer, Flexport attempts to recast this motion as a “motion for sanctions,” but the relief sought makes clear it is a *fourth* attempt by

¹ Flexport’s first two dispositive motions were denied by the Presiding Officer by Orders dated October 24, 2024, and January 29, 2025. *See* Dkt. Nos. 15, 35. Flexport filed a third motion to dismiss on April 22, 2025 (Dkt. No. 54, “Third Motion to Dismiss”), seeking dismissal of Peloton’s complaint as a sanction for alleged failure to comply with discovery – the same relief that Flexport seeks again in its fourth dispositive motion. *See* Dkt. Nos. 54, 63.

² Citing *Aeneas Exporting LLC v. Honeybee International Inc., and All America Shipping*, Docket No. 22-11, 2022 WL 2399909, at *1 (ALJ June 29, 2022)). As discussed in Peloton’s opposition to Flexport’s third motion to dismiss, the FMC routinely denies dispositive motions filed at or near the close of discovery in favor of resolving issues through merits briefing. *See* Dkt. No. 58 at 5-7; *see also Visual Comfort & Co. v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-01, 2024 WL 4491619 (ALJ Oct. 8, 2024) (denying dispositive motion filed by respondent less than one month before close of discovery) (ALJ Crovella presiding).

³ Citing *Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, Docket No. 17-07, 2018 WL 2683806, at *1 (ALJ May 31, 2018).

Flexport to dismiss Peloton’s complaint. Flexport states in the first paragraph: “Flexport . . . hereby moves for an order ***striking the pleadings*** and awarding sanctions.” Dkt. No. 63 at 1 (emphasis added). Flexport reaffirms this purpose twice more, saying “Flexport again maintains that these actions warrant the imposition of sanctions, ***including outright dismissal*** and an award of attorney’s fees” and “Flexport respectfully requests that the Presiding Officer enter an order ***striking the Amended Complaint . . .***” *Id.* at 10 (emphasis added). This is the same relief sought in Flexport’s Third Motion to Dismiss.

The Fourth Motion to Dismiss is baseless. Peloton has fully complied with all discovery orders. Peloton provided supplemental responses to Flexport’s interrogatories, including a Bates log identifying thousands of responsive documents in Peloton’s production. Peloton also served a *second* set of supplemental interrogatory responses citing its expert’s line-by-line analysis of disputed shipments derived from documents belatedly produced by Flexport.⁴

It is unclear what more Flexport needs from Peloton’s interrogatory responses, and the motion does not articulate any specific need. This Proceeding is to determine the factual bases underlying ***Flexport’s decision*** to improperly charge Peloton for detention and demurrage in violation of the Shipping Act. Peloton did not directly contract or work with motor carriers, ocean carriers, railroads, or marine terminal operators regarding the movement of its containers – Flexport did. As was recognized in the Presiding Officer’s January 29, 2025 Order denying Flexport’s second dispositive motion, “the information necessary to determine whether Flexport’s practices were reasonable or unreasonable ***may well be entirely in the possession of Flexport,***

⁴ Flexport’s document productions remain deficient, including the failure to produce: “communications between it and contractors such as motor carriers and railroads, as well as marine terminal operators and ocean carriers, regarding the movement of Peloton containers/shipments for which invoices issued beginning in May 2021.” Dkt. No. 47 at 1.

reinforcing the import of discovery and a more fully developed record here in *fairness to Peloton*[.]” Dkt. No. 35 at 7 (emphasis added).

Flexport apparently will not be satisfied with Peloton’s discovery responses short of Peloton conducting an in-depth analysis of its entire document production and providing those results to Flexport. This is not how discovery works, as the Presiding Officer has already determined in ruling that “Peloton is not required to compile an analysis of responsive documents.” *See* Dkt. No. 62 at 4. Flexport’s real motivations are exceedingly transparent – it is desperate to use every tactic, including motions to dismiss, motions for sanctions, and motions to strike, without regard for this Commission’s time, rules, precedent, or direct instruction from the Presiding Officer, to prevent Peloton’s claims from being heard on the merits. For these reasons, Flexport’s Fourth Motion to Dismiss should be denied.⁵

II. ARGUMENT⁶

A. THE FOURTH MOTION TO DISMISS SHOULD BE DENIED BECAUSE PELOTON COMPLIED WITH ITS DISCOVERY OBLIGATIONS.

Flexport’s Fourth Motion to Dismiss fails to demonstrate that Flexport is entitled to the relief it seeks: striking Peloton’s complaint as a discovery sanction. Flexport does not cite to a

⁵ In this fourth attempt at dismissal, Flexport once again mischaracterizes Peloton’s actions. Flexport has continually asserted that they “simply had no idea what the claims concerned.” Dkt. No. 54 at 1; *see also* Exhibit 1 at 23 (Transcript of March 25, 2025 Hearing) (Flexport counsel stating they “still don’t even know what [Peloton’s] claim is”). This is despite an extensive record that now includes a complaint, amended complaint, multiple joint status reports following lengthy meet and confers, tens of thousands of produced documents, fact depositions, and three expert reports. It is telling that Flexport feigns ignorance over Peloton’s claims while simultaneously feigning ignorance over its own production deficiencies. *See id.* (Flexport counsel stating that the unilateral cut-off of Flexport’s production at October 2021 was “inadvertent”). Now, the same company that claims to have no idea what this case is about is seeking for a fourth time to have those claims dismissed before they can be heard on the merits. Yet, it is clear that Flexport fully understands Peloton’s claims and is rather using repetitious discovery disputes to prevent those claims from being heard on the merits.

⁶ Given the significant overlap in Flexport’s third and fourth motions to dismiss (Dkt. Nos. 54, 63), Peloton incorporates by reference the arguments advanced its opposition to the Third Motion to Dismiss (Dkt. No. 58) as if fully set forth herein.

single case in support of its argument for dismissal sanctions. Instead, Flexport's motion misrepresents the discovery orders, and Peloton's compliance with its discovery obligations.

As background, on January 3, 2025 and January 14, 2025, the Parties each filed motions to compel. *See* Dkt. Nos. 30, 32. In its January 10, 2025 response to Flexport's motion to compel, Peloton provided a spreadsheet identifying documents responsive to Flexport's interrogatories, referred to as the "Bates log." *See* Dkt. No. 31, Ex. A. On March 25, 2025, the Presiding Officer held a hearing to address the outstanding discovery issues. During that hearing, the Presiding Officer noted that Peloton's Bates log had only been provided in response to the motion to compel and should be provided as a supplemental response to the interrogatories. Consistent with the hearing, on March 26, 2025, the Presiding Officer instructed Peloton "to provide a supplemental response to [Flexport's] interrogatories with references to Bates numbers for documents responsive to the interrogatories (referred to as 'Confidential Peloton Production Log with Bates' in Complainant's January 10, 2025 filing)," i.e., the "Bates log." Dkt. No. 47 at 2. On April 22, 2025, the Presiding Officer clarified that "[a]ny items specified in the [March 26] Order" (including items that Flexport was ordered to produce) were to be served by April 25, 2025. Dkt. No. 52 at 2.

In accordance with the March 26 and April 22 Orders, Peloton emailed its supplemental responses to Flexport's interrogatories on April 25, 2025. *See* Dkt. No. 58, Exhs. 4-6. These supplemental responses were accompanied by the Bates Log, a spreadsheet identifying by category, subject matter, and Bates number for documents in Peloton's production that were responsive to Flexport's interrogatories. Moreover, the supplemental interrogatory responses directed Flexport to the categories in the Bates log that were responsive to the particular interrogatory. This fulfilled Peloton's obligations under the Orders.

On April 25, 2025, the date that the supplemental interrogatory responses were due, Flexport did not wait for Peloton to serve its responses but instead filed the Third Motion to Dismiss, claiming, *inter alia*, that Peloton did not serve the supplemental responses. Although Peloton wrote to Flexport and asked it to withdraw the Third Motion to Dismiss, Flexport did not withdraw the motion and did not update the ALJ that Peloton's supplemental interrogatory responses were indeed served on April 25th.

Against this backdrop, the May 15 Order instructed that “[t]o the extent that the supplemental responses have not yet been provided,” Peloton was to respond to five of Flexport's interrogatories (Interrogatories Nos. 12-15 and 18) and provide Peloton Bates number references to responsive documents. Dkt. No. 62 at 4 (emphasis added). The May 15 Order made clear that “Peloton is not required to compile an analysis of responsive documents.” *Id.* The supplemental responses served on April 25, 2025 fulfilled these obligations. *See* Dkt. No. 58, Ex. 5.

The Presiding Officer's April 22 Order also required that Flexport produce communications between it and third-party entities regarding the movement of Peloton shipments for which invoices were issued beginning in May 2021. Dkt. No. 52 at 2. Flexport made a production on April 25, 2025 at 4:47 pm consisting of a total of 12 documents. One of those 12 documents included a spreadsheet containing information on Peloton shipments downloaded from Flexport's online portal that should have been produced at the beginning of discovery. Based on this document and other documents belatedly produced by Flexport, Peloton's expert, Gregory E. Smith, supplemented his expert report on May 19, 2025. *See* Exhibit 2 (Supplemental Expert Report of Gregory E. Smith dated May 19, 2025, with exhibits). The expert report provides a line-by-line analysis of the shipments at issue in this Proceeding. In an abundance of caution and a good-faith effort to ensure full compliance with the Presiding Officer's orders, Peloton provided

Flexport a *second* set of supplemental interrogatory responses on May 20, 2025⁷ to reference this report and its exhibits. *See* Exhibit 3 (cover email); 4 (second set of supplemental responses).

Although Peloton has provided *two* sets of supplemental responses to Flexport’s interrogatories – including the Bates Log and a report analyzing line-by-line the charges associated with thousands of individual shipments – Flexport continues to insist, as it did in its Third Motion to Dismiss, that Peloton has not complied with its discovery obligations.

Flexport takes particular issue with the fact that Peloton “refers to a group of thousands of documents” in its supplemental interrogatory responses, alleging that the identification of “thousands of documents” shows that “Peloton has not complied with the [March 26] Order.” *See* Dkt. No. 63 at 8-9. The fact that there are thousands of relevant documents that are responsive to Flexport’s interrogatories, however, is entirely consistent with the scope of Peloton’s dispute with Flexport. There are more than 7,000 containers and 3,249 invoices at issue in this proceeding. Assuming, at a minimum, that only one or two relevant emails exist for each disputed container or invoice, this alone would correspond to the existence of several thousand relevant documents. It is therefore entirely logical that Peloton’s Bates Log contains reference to “thousands of documents” and, in fact, demonstrates the extent to which Peloton endeavored to comply with its obligations to provide responsive information to Flexport’s interrogatories.

Flexport also makes the sweeping and unsupported allegation that the “thousands of pages of documents” identified by Peloton in its supplemental responses are “non-responsive.” Dkt. No. 63 at 10. In its motion, Flexport describes that its methodology for reviewing the responsiveness of the documents was to “pick[] a line at random” or “look[] at a random document” in each tab of the Bates Log and see whether that singular document was relevant or responsive – despite the

⁷ The deadline specified in the May 15 Order.

fact that several of the tabs contain thousands of line items. *See, e.g.*, Dkt. No. 63 at 7 (stating that counsel “picked a line at random” in the “Flexport” tab containing 12,265 line items and in the “Carriers” tab containing 2,910 line items). This method of review is not sufficient to determine responsiveness or relevance, much less make the sweeping conclusion that *none* of the documents in the Bates Log are responsive. As the Presiding Officer has rightly noted, Peloton does not bear the burden of providing Flexport a detailed analysis of why each document is relevant. *See* Dkt. No. 62 at 4.

In addition to Flexport’s unfounded allegations that Peloton has not complied with the Presiding Officer’s Orders to supplement its interrogatory responses, Flexport has chosen this moment, 12 days before the end of discovery, to raise two other baseless accusations. Flexport alleges, as it did in its Third Motion to Dismiss, that Peloton has failed to comply with the Presiding Officer’s discovery orders by not withdrawing its objections to Flexport’s interrogatories. Dkt. No. 63 at 3-4. This claim of noncompliance is entirely manufactured by Flexport. None of the discovery orders that Flexport references in its motion – the March 26 Order, the April 22 Order, or the May 15 Order – required Peloton to withdraw its objections to Flexport’s interrogatories.

Flexport also alleges with no basis that “[n]o Supplemental Responses to Requests for Production have ever been provided – nor any supplemental documents produced.” Dkt. No. 63 at 3. Flexport does not identify what documents it claims are missing, any Order that was violated on these bases, or any other basis for sanctions.

In sum, Flexport cannot demonstrate that Peloton is in violation of its discovery obligations, much less that Flexport is entitled to the extraordinary remedy of striking Peloton’s entire complaint.⁸ Flexport’s continued insistence otherwise, despite Peloton’s identification of

⁸ The arguments as to why Flexport has not satisfied its burden of showing that it is entitled to the extraordinary relief of dismissal of Peloton’s complaint as a discovery sanction are discussed more fully in Peloton’s opposition to

thousands of documents responsive to Flexport's interrogatories and provision of a line-by-line analysis of thousands of disputed shipments, indicates that no amount of effort on Peloton's part will be satisfactory to Flexport. Flexport seemingly expects Peloton to not only provide documents but to walk Flexport through the documents one-by-one to demonstrate how they are relevant. This expectation is neither reasonable nor warranted. As the Presiding Officer held in the May 15 Order, Peloton is "not required to compile an analysis of responsive documents." Dkt. No. 62 at 4. It is incumbent on *Flexport* to do that. Whether Flexport chooses to undertake this analysis does not fall on Peloton, much less establish grounds for awarding dismissal sanctions against Peloton.

B. FLEXPORT'S FOURTH MOTION TO DISMISS VIOLATES THE PRESIDING OFFICER'S MAY 15 ORDER REGARDING DISPOSITIVE MOTION FILINGS AT THE END OF DISCOVERY AND THE COMMISSION'S EXPRESS RULE AGAINST REPETITIOUS MOTIONS.

Flexport's Fourth Motion to Dismiss also directly contravenes the Presiding Officer's May 15 Order, which clearly stated that dispositive motions filed at this stage of the proceeding are not permitted and would not be considered. *See* Dkt. No. 62 at 5.⁹ The Fourth Motion is also not permitted by the Scheduling Order. Indeed, the May 15 Order's modification of the Scheduling Order reinforced that they are not allowed: "[I]t is noted that neither the current schedule *nor the modified schedule* allow time to submit dispositive orders near the end of discovery." *Id.* at 5 (emphasis added). The Presiding Officer stated that "[i]n the case *sub judice*, *there is no efficiency to be realized by deciding a third dispositive motion shortly before briefing begins.*" *Id.* (emphasis added).

Flexport's third motion to dismiss, and Peloton incorporates those arguments to the extent they are relevant here. *See* Dkt. No. 58 at 9-19.

⁹ The Presiding Officer explicitly stated: "Dispositive motions filed shortly before briefing begins, as Flexport has done here, are disfavored;" "[t]he schedule does not allow for filing dispositive motions at the end of discovery, and administrative law judges have routinely denied scheduling order proposals that request dates to do so;" "there is no efficiency to be realized by deciding a third dispositive motion shortly before briefing begins." Dkt. No. 62 at 5.

Despite the Presiding Officer's clear pronouncements, Flexport filed a *fourth* motion to dismiss Peloton's entire complaint *within the same week* as the May 15 Order directing that such motions are not permitted. *See* Dkt. No. 62 at 5 (issued on May 15, 2025); Dkt. No. 63 (Fourth Motion to Dismiss filed on May 21, 2025). Flexport's fourth dispositive motion filing disregards the Presiding Officer's May 15 Order, Scheduling Order, and preferences for managing the docket. It has resulted in further inefficiencies and imposed additional burden on the Commission's docket – precisely the issues that the Presiding Officer's May 15 Order intended to prevent. Flexport's relentless motions also continue to require Peloton to spend unnecessary resources responding to them.

In addition to violating the clear provisions of the May 15 Order, Flexport's filing also violates Commission Rule 69(d), which expressly states that "a repetitious motion will not be entertained." 46 C.F.R. § 502.69(d); *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 2013 WL 9808668, at *5 (FMC Jan. 31, 2013); *see* Dkt. No. 58 at 5-7. Flexport's fourth motion seeks the same relief it sought in its previous three motions – dismissal of Peloton's entire complaint. *Compare* Dkt. No. 63 at 1, 10 (moving for "outright dismissal" and "order striking the Amended Complaint") *with* Dkt. Nos. 10, 20, and 54. In its third motion, Flexport sought dismissal of Peloton's complaint based on (unfounded) allegations that Peloton failed to comply with discovery orders with respect to providing supplemental interrogatory responses and that Peloton's counsel has improperly directed the litigation. *See* Dkt. No. 54 at 11-13, 20. Flexport's Fourth Motion to Dismiss seeks dismissal of Peloton's complaint based on *the very same allegations*. *See, e.g.*, Dkt. No. 63 at 2-5, 8-10. Flexport's repetitious motion is procedurally improper and should be denied.

III. PELTON IS ENTITLED TO RECOVER ITS ATTORNEYS' FEES AND COSTS ASSOCIATED WITH RESPONDING TO FLEXPORT'S REPETITIOUS MOTION.

Peloton respectfully requests that it be awarded the attorney fees and costs incurred in connection with responding to Flexport's Fourth Motion to Dismiss. The "primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act, and any factors the Commission relies upon in individual cases should be consistent with these purposes." *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Docket No. 14-04, 2016 WL 5110081, at *5 (FMC Sept. 14, 2016). Factors that the Commission considers in determining whether an award of attorney fees is appropriate include "frivolousness, objective unreasonableness (in the factual and in the legal components of a case), motivation, and the requirement in certain circumstances to promote considerations of deterrence and compensation." *Id.* (quoting *Fogerty v. Fantasy, Inc.*, 510 U.S. 517, 534 n.19 (1994)).

Here, Flexport filed a Fourth Motion to Dismiss in violation of the Presiding Officer's Order ruling that the Scheduling Order does not permit the filing of dispositive motions at this stage of the proceeding and the Commission's express rule against filing repetitious motions. An award of attorney fees would be consistent with the Commission's policies and promote deterrence of Flexport's needless motion practice.

IV. CONCLUSION

For the foregoing reasons, Peloton respectfully requests that Flexport's Motion for Sanctions for Failing to Comply with Discovery Orders (Dkt. 63) be denied and that Peloton be awarded the fees and costs it incurred in opposing the Motion and such other relief that the ALJ deems just and proper.

Dated: May 28, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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